# Tortorella 200-Week Investment Index (TTWO)

## Strategy Prospectus & Methodology

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## Overview

The **Tortorella 200-Week Investment Index (TTWO)** is a rules-based, long-term investment strategy designed to systematically accumulate high-quality equities during periods of long-term statistical compression and reduce exposure during periods of statistical excess.

The strategy uses the **200-week moving average** as a structural valuation anchor and applies **Z-score normalization** to measure how extended or compressed an asset is relative to its own historical behavior.

TTWO is built to remove emotional decision-making, enforce disciplined capital deployment, and recycle gains into statistically favorable opportunities over full market cycles.

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## Investment Objective

The primary objective of TTWO is to:

- **Outperform the S&P 500** over full market cycles
- Target a **long-term compound annual growth rate (CAGR) of >12.5% over a 10-year period**

This objective reflects:

- Systematic buying during long-term drawdowns
- Partial profit-taking during euphoric extensions
- Continuous reinvestment into high-quality assets at favorable prices

Outperformance is expected to occur **over complete market cycles**, not necessarily in every calendar year.

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# Asset Universe

TTWO operates within a monitored universe of 33 investable assets consisting of:
• 30 TTWO constituent companies
• VOO
• QQQ
• Bitcoin (BTC)

The 30-company TTWO universe remains the only universe subject to quarterly additions and removals.

## Universe Criteria

- Proven operating history with real revenues and profitability
- Strong long-term business prospects
- Preference for companies with **market capitalizations above $100 billion**
- Emphasis on durability, scale, and financial strength

## Universe Maintenance

- The universe may be adjusted **up to 3 times per quarter**
- No carryover of unused changes
- A stock is **fully exited only if it is removed from the 30-stock universe**

This ensures:

- Low turnover
- Structural discipline
- Conviction-based ownership rather than reactive selling

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# Capital Injections

## Daily Contributions

- **$25 per trading day (Monday–Friday)**

## Allocation Structure

• If VOO is at or below its 200-week moving average and below its 10% allocation cap, allocate $5.
• If QQQ is at or below its 200-week moving average and below its 10% allocation cap, allocate $5.
• Remaining daily capital is allocated to eligible TTWO companies and Bitcoin according to the eligibility rules.

- **$25/day → individual equities and BTC**, subject to eligibility rules when VOO and QQQ are above their 200 week

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## STRC/SGOV injections

If there are not 5 Assets eligible for injections, we will start increasing our cash pile through SGOV or STRC:

When there is only 3 eligible Equities:

- **$5 → Equity 1**
- **$5 → Equity 2**
- **$5 → Equity 3**
- **$10 → STRC**

When there is only 2 eligible Equities:

- **$5 → Equity 1**
- **$5 → Equity 2**
- **$15 → STRC**

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## Eligible Stocks % Cap

Universe Assets must maintain a max float, to keep from overleveraging the portfolio:

- Eligible Assets receive their allocations if they meet allocation conditions: stocks >1T are under 17% of the portfolio (This 17% will drop 0.5% per month until 14% is reached) -- stocks 250B-1T are under 15% of the portfolio (This 15% will drop 0.5% per month until 12% is reached) -- stocks 100B-250B under 13% of the portfolio (This 13% will drop 0.5% per month until 9% is reached) -- stocks 20B-100B under 10% of the portfolio (This 10% will drop 0.5% per month until 6.5% is reached) -- stocks <20B under 6% of the portfolio (This 6% will drop 0.5% per month until 4% is reached)

- QQQ – VOO – BTC will have a max allocation of 10%

- STRC/SGOV will have a max allocation of 7.5%

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# Equity Sales & Trimming Rules

TTWO does not attempt to time market tops. Instead, it trims exposure only when price behavior becomes **statistically extreme** relative to an asset's own long-term history.

## Z-Score Framework

- Z-scores are calculated using **weekly closing prices**
- Z-score measures how far price is from the 200-week moving average, normalized by historical volatility

- Z-score is also capped at 6 year STDEV sample size (115 total data points)

## Trimming Thresholds for Equities

- **Z ≥ +2.0** → Trim **33%** of the position
- **Z ≥ +3.0** → Trim an additional **50% of the remaining position**

QQQ – VOO – BTC Z-score Framework

- **Z ≥ +0.4** → Trim **40% of the position (VOO)**
- **Z ≥ +0.5** → Trim **40% of the position (VOO)**
- **Z ≥ +1.2** → Trim **40% of the position (VOO)**

No position is ever fully sold due to price appreciation alone.

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## Once-Per-Cycle Trim Rule

Equities:
To prevent excessive trimming during extended bull markets:

**Each trim level ($Z \geq 2.0$ and $Z \geq 3.0$) may only trigger once per cycle.**

A new trim cycle may not occur until:

- The stock's Z-score **resets below +1.0**

VOO – QQQ - BTC:

**Each trim level may only trigger once per cycle.**

A new trim cycle may not occur until:

- The QQQ Z-score **resets below +0.15; BTC below 0.2; VOO below 0.15**

This rule:

- Prevents over-trimming in grind-up markets
- Preserves upside participation
- Aligns trimming with true market cycles rather than short-term noise

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## Re-Entry After Trimming

If a stock has been partially trimmed due to an elevated Z-score and later returns to a statistically compressed zone:

**The stock becomes fully eligible again for daily injections once it re-enters the 150–200 week moving average range.**

This ensures:

- Winners are not permanently penalized
- Capital naturally rotates back into former holdings during drawdowns
- The strategy remains symmetric and cyclical

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## Full Exit Rule

A stock is **fully exited only if it is removed from the 30-stock universe**.

Price action alone never triggers a full sale.

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## Redeployment of Sale Proceeds

Sale proceeds from trimming or universe changes are redeployed using the standard daily allocation methodology. Eligible VOO, QQQ, Bitcoin and TTWO companies receive capital in an even split manner (must have at least 5 eligible assets) only if they satisfy their respective eligibility rules. Remaining unallocated capital is held in STRC/SGOV.

When equity is sold due to trimming or universe changes, proceeds are allocated as follows:

- **100% → Eligible Assets**
- **OR 90% Assets, 10% into STRC/SGOV if there is not 5 eligible**

This creates a closed-loop system where:

- Excess is sold
- Compression is bought
- Core exposure is reinforced

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## Sale of STRC/SGOV Cash Pile

SGOV acts as a cash balance when the overall market is too bullish. When there are finally eligible equities in sale range, STRC will be sold and distributed by 1/5 the allocated amount, examples below.

When there is 4/5 eligible Equities and or VOO is eligible, and STRC balance above the daily injection threshold:

- **$6 → VOO/Equity**
- **$6 → Equity 1**
- **$6 → Equity 2**
- **$6 → Equity 3**
- **$6 → Equity 4**
- **-$5 → STRC**

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## Philosophy & Risk Management

TTWO is designed to:

- Buy pessimism, not headlines
- Trim euphoria, not conviction
- Favor rules over discretion
- Operate continuously across market environments

The strategy prioritizes **process integrity** over short-term outcomes and is intended to be run over decades, not quarters.

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## Summary Statement

*The TTWO 200-Week Investment Index is a disciplined, long-term capital allocation system designed to outperform SPY by systematically buying quality assets during long-term drawdowns and trimming exposure during statistically extreme periods, with a target CAGR of >12.5% over a 10-year horizon.*

# TTWO Investment Index Documented Changes:

## ADJUSTMENT I "Q1-26 shift 1 & 2" *February 11th, 2026:*

- Add SBUX, GE
- Drop NOW, CAT

## ADJUSTMENT II "Q1-26 shift 3" *February 27th, 2026:*

- Add CMG
- Drop LLY

## ADJUSTMENT III "Q2-26 shift 1" *April 15th, 2026:*

- Add CEG
- Drop QQQ

## ADJUSTMENT IV "Q2-26 shift 2 & 3" *April 20th, 2026:*

- Add BSX & UBER
- Drop MU & GE

## ADJUSTMENT V "Universe Expansion" *June 15th, 2026:*

- The 30-stock universe may now include smaller-cap stocks, provided they have a 200-week moving average and support a long-term bullish thesis.
- This amendment has prompted some rebalancing among current holdings, which will be detailed in the next quarterly report

## ADJUSTMENT VI "Q3-26 shift 1" *July 14th, 2026:*

- CRSIPR has been dropped and Ambarella (AMBA) has been added

## ADJUSTMENT VII "Q3-26 shift 2" *July 29th, 2026:*

- INTU has been Swapped for Adobe (ADBE)

## ADJUSTMENT VIII "Q3-26 shift 3" *July 31st, 2026:*

- Symbotic has been dropped and Lululemon (LULU) has been added

## ADJUSTMENT IX "Core Asset Expansion" *July 31st, 2026:*

- QQQ – BTC – VOO will become strategic assets for TTWO and will follow their respective 200week injection rules
- The rule being they get automatic priority when they are under their 200week SMA (BTC follows normal assets universe rules), with a max allocation of 10%

**TTWO resources for decisions**

Stocks/The Fed

- https://fred.stlouisfed.org/series/FEDFUNDS (Federal funds rate)
- https://fred.stlouisfed.org/series/CORESTICKM159SFRBATL (sticky consumer inflation)
- https://fred.stlouisfed.org/series/WM2NS  (M2 money supply)
- https://fred.stlouisfed.org/series/MORTGAGE30US. (30 year fixed mortgage rates)
- https://fred.stlouisfed.org/series/UNRATE (unemployment rate)

Cryptocurrency Resources

- https://www.blockchaincenter.net/en/altcoin-season-index/ (Alton season index)
- https://www.tradingview.com/chart/mKyIvPPR/?symbol=NYSE%3AKO (BTC Dominance)
- https://www.tradingview.com/chart/mKyIvPPR/?symbol=NYSE%3AKO (Total 2 MC)
- https://www.tradingview.com/chart/mKyIvPPR/?symbol=NYSE%3AKO (Others MC)
- https://www.blockchaincenter.net/en/bitcoin-rainbow-chart/ BTC Rainbow chart)
- https://cryptoquant.com/analytics/query/67a0369f37939776ed461ad4?v=67a0369f37939776ed461ad6 (Bitcoin retail vs large investors)